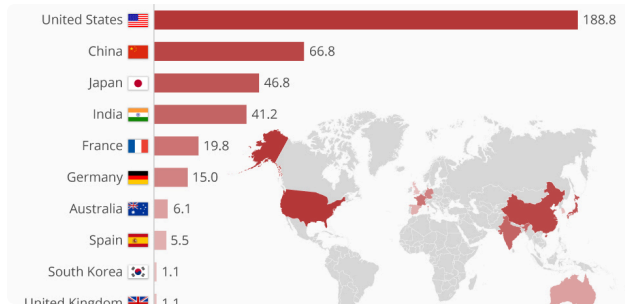
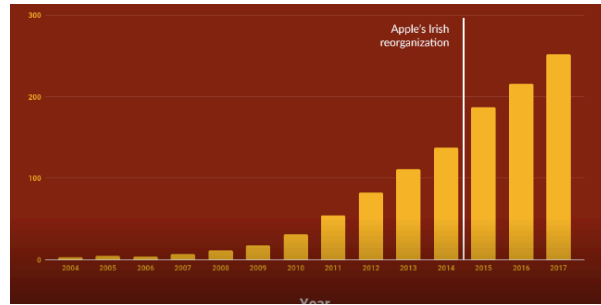


Did Apple Pay Too Little Tax?

Case overview — Apple, Ireland & the EU state-aid ruling



The global cost of tax avoidance — estimated annual corporate tax losses. Source: UNU-WIDER via Statista.

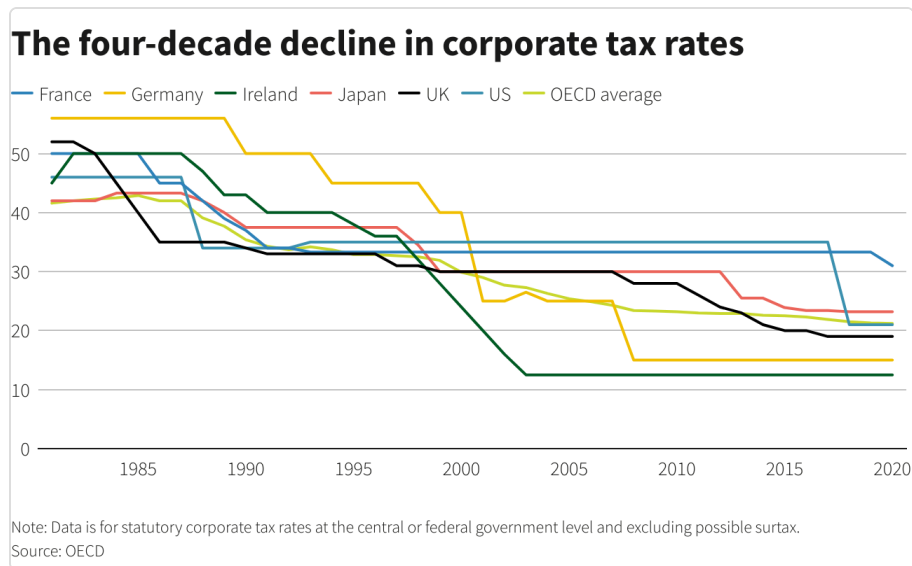


Apple cash parked offshore (\$ billion). Source: SEC filings.

Overview

Taxation — and the power to levy and enforce it — is a central feature of the modern state. Governments use taxation to enrich political elites, to fund public goods like security, infrastructure, and education, to address inequality through social spending, or some mix of all three. Historically, the sovereign right to tax economic activity was relatively easy to assert, because most economic activity stayed roughly in one place. Today, especially with the rise of the digital economy, activity can move quickly across jurisdictions — different political units with different laws and courts — making it easier for individuals and firms to shift assets toward lower-tax countries. That, in turn, lets companies benefit from the public services provided by the countries where they operate without necessarily paying much to support them.

The growing ability of firms to shift assets and profits globally has also raised the stakes of tax-rate competition among countries. States can compete for investment by lowering their tax rates — a "race to the bottom" dynamic that resembles a prisoner's dilemma: every country would be better off with higher rates, but the incentive to undercut rivals keeps pushing rates down.



The four-decade decline in corporate tax rates. Source: OECD.

This case centers on Apple, Ireland, and the European Union. Ireland gave Apple a highly favorable tax arrangement, which Apple used to substantially lower its tax bill. The EU sued Ireland, arguing that the arrangement amounted to illegal state aid — the same "state aid" concept covered earlier in the course — and ordered Apple to pay roughly €13 billion in back taxes to Ireland. Notably, Ireland didn't want the money either, and joined Apple in appealing the ruling (they lost).

By 2026 we know how this ultimately turned out: the EU Court of Justice ruled decisively against Apple and Ireland in September 2024, upholding the full back-tax order. Work through the case as of the moment it's set — before that ruling — and use the actual outcome afterward to test your own reasoning.

This overview is here to help you prepare — it is not a substitute for the assigned reading. The specific discussion questions for our in-class case write-up are distributed at the start of class.